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US Rates Strategy | North America

How Much Will Vol Go Up Under Warsh?

The first FOMC under Warsh suggests less forward guidance. Markets would likely place greater weight on economic data and react more strongly to surprises. Looking back to the Greenspan era, we quantify how changes in market sensitivity to economic data could translate into higher rates volatility.

Key Takeaways

- Warsh's first press conference suggests less forward guidance. Economic data should play a larger role in market pricing.
- The Greenspan era provides the closest comparison for a less guided Fed and offers clues on how much market sensitivity to economic data could increase.
- We measure market sensitivity using the relationship between economic surprises and Treasury yield moves, with both variables normalized.
- Market reaction to data surprises declined steadily from the Greenspan era through the pre-COVID period. Warsh could reverse part of that decline.
- Higher market sensitivity to economic data argues for higher short-dated volatility. Intermediate expiries should follow. Stay long 2y10y straddles.

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Interest Rate Derivative Strategy

United States | How much will vol go up under Warsh?

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Fed communication policy revamped

The first FOMC press conference under Chair Warsh suggests a meaningful shift in the Fed's communication strategy. By scaling back forward guidance, the Fed is providing markets with less information about its expected policy path.

A market that receives less guidance from policymakers must extract more information from economic releases. That [argues](#) for greater sensitivity to macro data and higher rates volatility.

To gauge the potential increase in market sensitivity, we look to the Greenspan era, when forward guidance played a much smaller role in monetary policy. If Warsh continues down this path, that period offers the closest historical comparison.

Measure market sensitivity to economic releases

We quantify market sensitivity by examining the relationship between economic surprises and Treasury yield moves on release dates.

To ensure comparability across different Fed regimes, both variables are normalized. Economic surprises are scaled by their rolling two-year standard deviation, while yield moves are scaled by three-month realized volatility.

The resulting measure captures how strongly rates respond to a given economic surprise over time.

Market sensitivity to NFP

[Exhibit 1](#) plots normalized NFP surprises against normalized changes in the 2-year Treasury yield on payroll release dates. Each point represents a monthly observation, with colors denoting different Fed chairs. We also overlay a separate regression line for each Fed regime, splitting Powell's tenure into pre- and post-COVID periods to account for the different macro environments.

The positive relationship between payroll surprises and front-end rates is consistent across all regimes: stronger payrolls tend to push 2-year yields higher. The more

important question is whether market sensitivity to payroll surprises has changed over time.

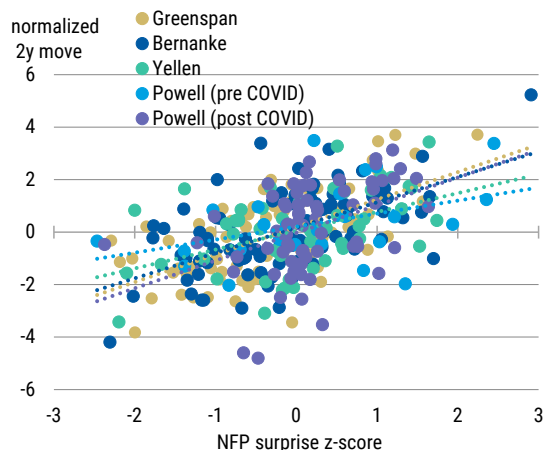
[Exhibit 2](#) cuts through the noise by reporting the estimated sensitivity of 2-year yields to NFP surprises, along with 90% confidence intervals. While the estimates are subject to uncertainty given the limited number of observations within each Fed regime, the trend is clear: market sensitivity to payroll surprises declined steadily from the Greenspan era through the pre-COVID period.

During the pre-COVID period of Powell's first term, the response of the 2-year Treasury yield to a given payroll surprise was roughly half of its Greenspan-era level. While multiple factors likely contributed to this decline, the increase in policy transparency and forward guidance was clearly part of the shift.

The pandemic reversed this trend. Elevated inflation, higher policy rates, and a series of large macro shocks increased the market's response to economic data, bringing sensitivity to NFP back to levels comparable to the Greenspan era.

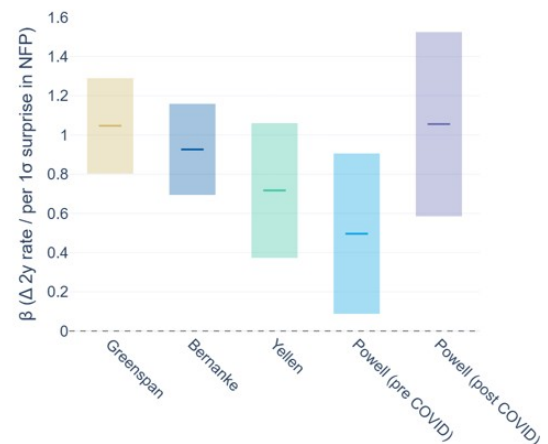
As Warsh reduces the role of forward guidance, we expect some further increase in sensitivity. While the exact magnitude is uncertain, a full reversal of the decline since the Greenspan era would imply an increase of up to 0.5x daily volatility per unit of data surprise.

Exhibit 1: Normalized market response to NFP surprises since 1997



Source: Bloomberg. Morgan Stanley Research.

Exhibit 2: Market sensitivity to NFP surprises declined since Greenspan



Source: Bloomberg. Morgan Stanley Research.

Different pattern for inflation data

[Exhibit 3](#) plots normalized surprises in monthly CPI against normalized changes in the 2-year Treasury yield.

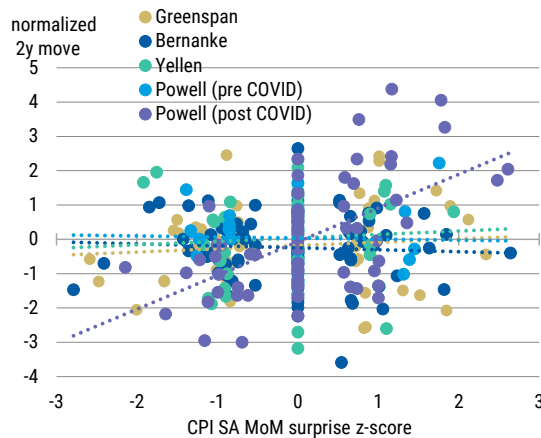
Unlike payrolls, inflation surprises had little consistent impact on front-end rates prior to COVID. While CPI releases occasionally generated large market moves, the relationship between inflation surprises and Treasury yields was weak and statistically unstable across earlier Fed regimes.

The pandemic changed this. As inflation became a key driver of monetary policy, markets began responding more consistently to CPI surprises. [Exhibit 4](#) shows that the market

sensitivity increased sharply in the post-COVID period. Our FX strategies team [documented](#) a similar shift in currency markets.

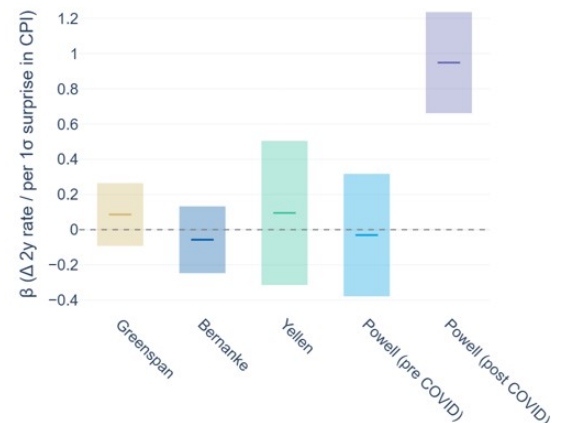
Markets are already highly sensitive to inflation data, and recent FOMC communications suggest that inflation remains the primary policy concern under Warsh. As a result, inflation releases could have a larger impact on front-end rates than employment data in the near term.

Exhibit 3: Normalized market response to CPI surprises since 1998



Source: Bloomberg, Morgan Stanley Research.

Exhibit 4: Market sensitivity to CPI increased post-pandemic



Source: Bloomberg, Morgan Stanley Research.

Trend confirmed by intraday moves

Daily yield changes capture more than the market response to economic releases. To isolate the direct impact of NFP and CPI, we expand the analysis to yield changes over the 60 minutes following the 8:30 a.m. release.

Data availability limits the intraday analysis to the period since 2013, preventing a direct comparison with the Greenspan era. Nevertheless, the results closely mirror the patterns observed in the daily data, confirming that market sensitivity tends to be higher under a less guided Fed:

- Market sensitivity to payroll surprises declined from the Bernanke era through the pre-COVID period.
- Markets did not respond consistently to CPI surprises prior to the pandemic.
- Market sensitivity to both employment and inflation surprises increased after the pandemic.

Exhibit 5: Market sensitivity to NFP surprises: 60-minute response

Chair	market sensitivity (beta)	R ²	t-stat
Bernanke	1.11	0.60	3.23
Yellen	0.68	0.22	3.55
Powell (pre COVID)	0.38	0.24	2.67
Powell (post COVID)	0.81	0.22	4.50

Source: Bloomberg. Morgan Stanley Research.

Exhibit 6: Market sensitivity to CPI surprises: 60-minute response

Chair	market sensitivity (beta)	R ²	t-stat
Bernanke	0.11	0.08	0.73
Yellen	0.33	0.10	2.18
Powell (pre COVID)	0.24	0.16	2.03
Powell (post COVID)	0.79	0.35	6.09

Source: Bloomberg. Morgan Stanley Research.

Conclusion

Our analysis suggests that market sensitivity to economic data declined steadily from the Greenspan era through the pre-COVID period. This likely reflects a combination of factors, including Fed forward guidance, the expanded policy toolkit, and changes in the macro environment. Regardless of the cause, the historical evidence shows a clear relationship between more forward guidance and lower market sensitivity to economic data.

Historical experience suggests that some of the decline in market sensitivity since the Greenspan era could reverse under Warsh. With markets already responding more strongly to employment and inflation data than they did before the pandemic, we think further increases would translate into larger moves around key economic releases.

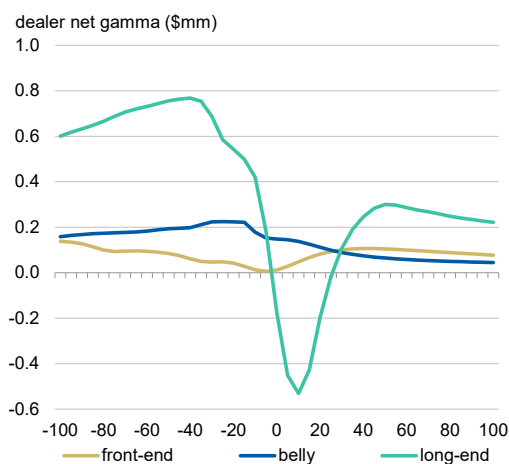
Ultimately, long-term volatility will likely depend on the size of future economic surprises. However, a market that relies more heavily on incoming data should see larger rate moves in response to a given surprise. This argues for higher short-dated volatility. As markets digest changes in Fed communication, intermediate expiries should follow. We therefore maintain our recommendation to own 2y10y volatility through long straddles.

SDR Monitor

Following the FOMC, dealer gamma positioning has normalized in the front end, with desks now broadly flat gamma across tails of 2 years and shorter. In contrast, dealers remain short gamma in the long end, particularly in tails of 9 years and longer.

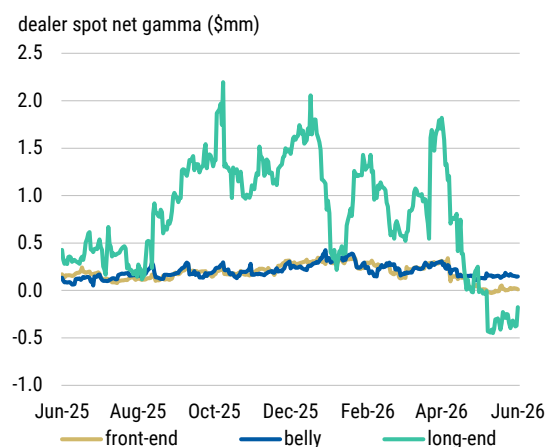
Investor flows remained balanced over the past two weeks, with modest gamma selling in 3m10y and 3m15y. Elsewhere, investors rotated into longer-dated expiries, buying 10y+ expiries against selling 5y expiries.

Exhibit 7: Dealer net gamma exposure



Source: DTCC, Morgan Stanley Research

Exhibit 8: Historical spot dealer net gamma exposure



Source: DTCC, Morgan Stanley Research

Exhibit 9: Net customer flow in gamma (\$k)

exp\tail	1Y	2Y	3Y	5Y	10Y	15Y	20Y	30Y
1M	(1)	3	0	(27)	(29)	(4)	(5)	(8)
2M	0	1	0	(1)	6	0	0	22
3M	(6)	(4)	2	6	(42)	(89)	(0)	(23)
6M	1	(3)	0	8	0	0	0	(10)
9M	(3)	2	0	2	1	0	1	(3)
1Y	(2)	(12)	1	3	14	0	0	16
18M	(0)	(0)	(4)	0	2	0	0	3
2Y	(3)	(2)	0	2	(4)	0	(0)	1
3Y	0	0	0	(1)	(2)	0	1	(0)
5Y	(0)	1	0	0	(3)	0	(1)	(7)
10Y	0	(0)	0	0	(0)	0	2	(0)
15Y	0	0	0	0	0	0	0	0
20Y	0	0	0	0	0	0	0	0

Source: DTCC, Morgan Stanley Research

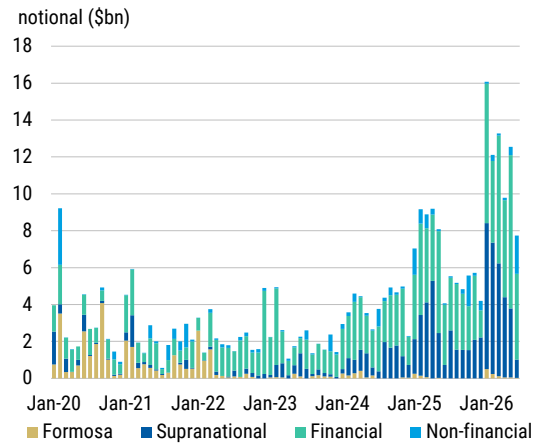
Exhibit 10: Net customer flow in vega (\$k)

exp\tail	1Y	2Y	3Y	5Y	10Y	15Y	20Y	30Y
1M	(5)	18	0	(184)	(158)	(20)	(28)	(42)
2M	4	22	0	(9)	77	0	0	235
3M	(114)	(84)	44	118	(799)	(1,611)	(3)	(336)
6M	53	(166)	0	302	32	0	0	(361)
9M	(199)	175	0	157	101	0	65	(136)
1Y	(206)	(1,122)	134	223	1,043	0	0	1,246
18M	(8)	(30)	(480)	0	184	0	0	325
2Y	(545)	(276)	0	267	(633)	22	(0)	131
3Y	0	36	0	(289)	21	0	297	(100)
5Y	(201)	555	0	141	(1,332)	0	(302)	(2,554)
10Y	0	(26)	0	248	(11)	0	1,047	(70)
15Y	0	0	0	0	396	0	0	0
20Y	0	0	0	0	62	0	0	0

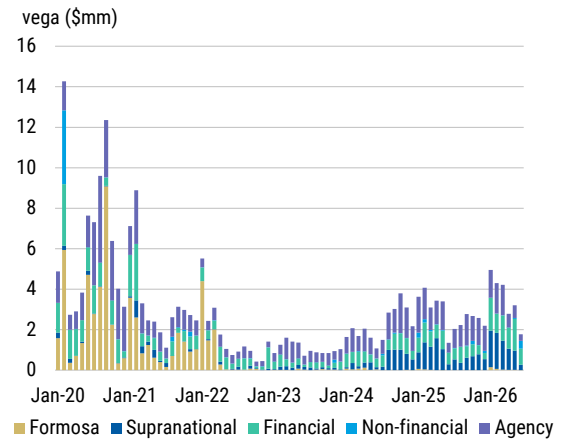
Source: DTCC, Morgan Stanley Research

Callable Issuance Monitor

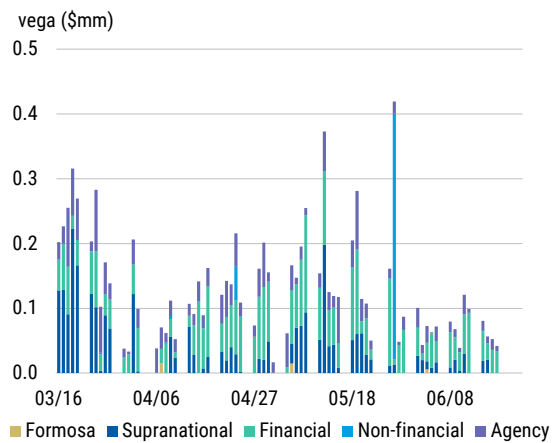
June issuance slowed along expected seasonal lines. Coupons on 6–10y supranational bonds have risen toward 5%, providing a healthier spread pickup over comparable-duration Treasuries.

Exhibit 11: Notional of callable issuance

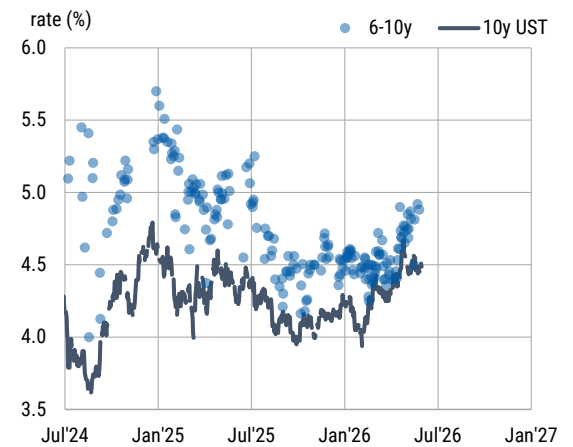
Source: Bloomberg, Morgan Stanley Research

Exhibit 12: Vega supply from callable issuance

Source: Bloomberg, Morgan Stanley Research

Exhibit 13: Recent vega supply by pricing date

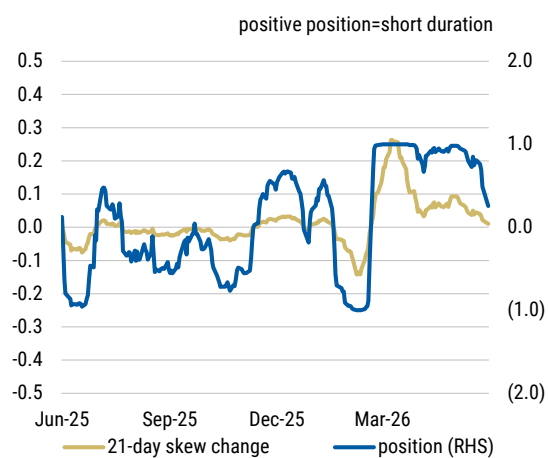
Source: Bloomberg, Morgan Stanley Research

Exhibit 14: Coupon of supranational issuance (6-10y maturity) vs. 10y Treasury yields

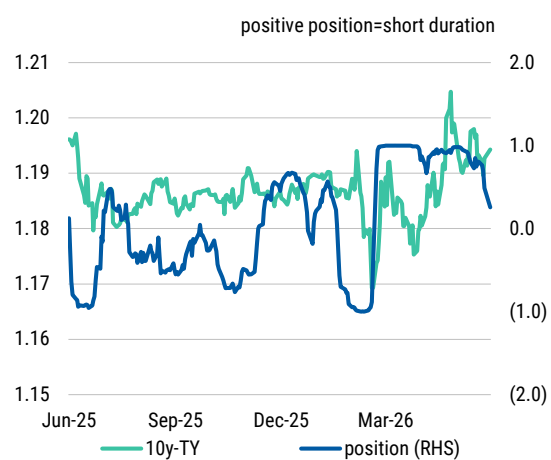
Source: Bloomberg, Morgan Stanley Research

Skew Signal Monitor

The recent rally in long-end rates has been accompanied by a normalization in skew. The 21-day change in 3m10y skew has reverted to near zero. Skew signal suggests approximately 30% of max short duration exposure.

Exhibit 15: Skew change and duration position

Source: Bloomberg, S&P, Morgan Stanley Research.

Exhibit 16: Duration position and signal performance

Source: Bloomberg, S&P, Morgan Stanley Research.

- Trade idea: Maintain long 2y10y straddle outright
- Trade idea: Maintain long 1y1y F/F+25/F+50 payer ladder

Valuation Methodology and Risks

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Interest Rate Derivatives				
TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Buy 2y10y straddle	670c	6/10/2026	2y10y expected to be supported by structural flow from mortgage hedgers demand and reduced supply from callable issuance.	The risk is if vol drops significantly while rates remain anchored near strike level.
Buy 1y1y F/F+25/F+50 payer ladder	0c	3/10/2026	Recent selloff in rates and pick up in vol created an attractive window for 1y1y payer ladders. Breakeven level sits at levels that imply Fed hike over the next 2 years.	The risk is if energy-driven inflation becomes sustainable and forces the Fed to hike rates as a response.

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Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
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Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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